

**SUBSTITUTE FOR
SENATE BILL NO. 874**

A bill to amend 1979 PA 94, entitled
"The state school aid act of 1979,"
by amending sections 236, 236c, 236d, 236j, 236s, 241, 241a, 241b,
241c, 241e, 247, 248, 254, 256, 263, 263b, 264, 268, 269, 270,
270c, 276, 277, 278, 279, 280, 281, and 282 (MCL 388.1836,
388.1836c, 388.1836d, 388.1836j, 388.1836s, 388.1841, 388.1841a,
388.1841b, 388.1841c, 388.1841e, 388.1847, 388.1848, 388.1854,
388.1856, 388.1863, 388.1863b, 388.1864, 388.1868, 388.1869,
388.1870, 388.1870c, 388.1876, 388.1877, 388.1878, 388.1879,
388.1880, 388.1881, and 388.1882), sections 236, 236c, 236d, 236j,
241, 241a, 241b, 241c, 241e, 247, 248, 254, 256, 263, 263b, 264,
268, 269, 270, 270c, 276, 277, 278, 279, 280, 281, and 282 as
amended and section 236s as added by 2025 PA 15, and by adding



sections 236k, 275l, 275n, 275o, and 287; and to repeal acts and parts of acts.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

Sec. 236. (1) Subject to the conditions set forth in this article, the amounts listed in this section are appropriated for higher education for the fiscal year ending September 30, ~~2026,~~ **2027**, from the funds indicated in this section. The following is a summary of the appropriations in this section and sections 236d ~~7~~ ~~236e,~~ and 236j:

(a) The gross appropriation is ~~\$2,336,912,000.00.~~ **\$2,590,132,800.00.** After deducting total interdepartmental grants and intradepartmental transfers in the amount of \$0.00, the adjusted gross appropriation is ~~\$2,336,912,000.00.~~ **\$2,590,132,800.00.**

(b) The sources of the adjusted gross appropriation described in subdivision (a) are as follows:

(i) Total federal revenues, \$3,200,000.00.

(ii) Total local revenues, \$0.00.

(iii) Total private revenues, \$0.00.

(iv) Total other state restricted revenues, ~~\$850,768,300.00.~~ **\$1,171,678,600.00.**

(v) State general fund/general purpose money, ~~\$1,482,943,700.00.~~ **\$1,415,254,200.00.**

(c) The totals and subtotals reflected in subdivisions (a) and (b) do not include ~~amounts appropriated under subsection (7)(d) or (8)(b)~~ **\$300,000,000.00 of the appropriation under subsection (8)(c)** to avoid duplicating totals of amounts appropriated in this section and section 236j.

(2) Amounts appropriated for public universities are as



1 follows:

2 (a) The appropriation for Central Michigan University is
 3 ~~\$99,466,100.00, \$95,226,900.00~~ **\$99,759,800.00, \$97,785,700.00** for
 4 operations, \$0.00 for operations increase, ~~\$2,558,800.00 for MPSERS~~
 5 ~~support payment, and \$1,680,400.00~~ **\$1,974,100.00** for costs incurred
 6 under the North American Indian tuition waiver.

7 (b) The appropriation for Eastern Michigan University is
 8 ~~\$86,649,200.00, \$83,979,800.00~~ **\$86,660,200.00, \$86,236,300.00** for
 9 operations, \$0.00 for operations increase, ~~\$2,256,500.00 for MPSERS~~
 10 ~~support payment, and \$412,900.00~~ **\$423,900.00** for costs incurred
 11 under the North American Indian tuition waiver.

12 (c) The appropriation for Ferris State University is
 13 ~~\$62,221,900.00, \$59,816,300.00~~ **\$62,195,100.00, \$61,423,600.00** for
 14 operations, \$0.00 for operations increase, ~~\$1,607,300.00 for MPSERS~~
 15 ~~support payment, and \$798,300.00~~ **\$771,500.00** for costs incurred
 16 under the North American Indian tuition waiver.

17 (d) The appropriation for Grand Valley State University is
 18 ~~\$98,772,000.00, \$98,788,400.00, \$97,552,900.00~~ for operations,
 19 \$0.00 for operations increase, ~~\$0.00 for MPSERS support payment,~~
 20 and ~~\$1,219,100.00~~ **\$1,235,500.00** for costs incurred under the North
 21 American Indian tuition waiver.

22 (e) The appropriation for Lake Superior State University is
 23 ~~\$16,301,400.00, \$14,465,600.00~~ **\$16,419,200.00, \$14,854,300.00** for
 24 operations, \$0.00 for operations increase, ~~\$388,700.00 for MPSERS~~
 25 ~~support payment, and \$1,447,100.00~~ **\$1,564,900.00** for costs incurred
 26 under the North American Indian tuition waiver.

27 (f) The appropriation for Michigan State University is
 28 ~~\$396,845,300.00, \$396,750,000.00, \$321,516,900.00~~ for operations,
 29 \$0.00 for operations increase, ~~\$0.00 for MPSERS support payment,~~



~~\$2,508,800.00~~ **\$2,413,500.00** for costs incurred under the North American Indian tuition waiver, \$39,096,200.00 for MSU AgBioResearch, and \$33,723,400.00 for MSU Extension.

(g) The appropriation for Michigan Technological University is ~~\$56,659,000.00, \$54,463,700.00~~ **\$56,727,800.00, \$55,927,100.00** for operations, \$0.00 for operations increase, ~~\$1,463,400.00 for MPSERS support payment,~~ and ~~\$731,900.00~~ **\$800,700.00** for costs incurred under the North American Indian tuition waiver.

(h) The appropriation for Northern Michigan University is ~~\$55,688,200.00, \$52,850,300.00~~ **\$55,925,000.00, \$54,270,400.00** for operations, \$0.00 for operations increase, ~~\$1,420,100.00 for MPSERS support payment,~~ and ~~\$1,417,800.00~~ **\$1,654,600.00** for costs incurred under the North American Indian tuition waiver.

(i) The appropriation for Oakland University is ~~\$73,361,600.00, \$73,414,700.00,~~ \$73,036,400.00 for operations, \$0.00 for operations increase, ~~\$0.00 for MPSERS support payment,~~ and ~~\$325,200.00~~ **\$378,300.00** for costs incurred under the North American Indian tuition waiver.

(j) The appropriation for Saginaw Valley State University is ~~\$34,379,000.00, \$34,436,800.00,~~ \$34,196,000.00 for operations, \$0.00 for operations increase, ~~\$0.00 for MPSERS support payment,~~ and ~~\$183,000.00~~ **\$240,800.00** for costs incurred under the North American Indian tuition waiver.

(k) The appropriation for University of Michigan - Ann Arbor is ~~\$362,507,900.00, \$362,353,400.00,~~ \$360,607,300.00 for operations, \$0.00 for operations increase, ~~\$0.00 for MPSERS support payment,~~ and ~~\$1,900,600.00~~ **\$1,746,100.00** for costs incurred under the North American Indian tuition waiver.

(l) The appropriation for University of Michigan - Dearborn is



~~\$31,708,000.00, \$31,762,500.00,~~ \$31,513,700.00 for operations,
 \$0.00 for operations increase, ~~\$0.00 for MPERS support payment,~~
 and ~~\$194,300.00~~ **\$248,800.00** for costs incurred under the North
 American Indian tuition waiver.

(m) The appropriation for University of Michigan - Flint is
~~\$26,884,600.00, \$26,941,300.00,~~ \$26,403,700.00 for operations,
 \$0.00 for operations increase, ~~\$0.00 for MPERS support payment,~~
 and ~~\$480,900.00~~ **\$537,600.00** for costs incurred under the North
 American Indian tuition waiver.

(n) The appropriation for Wayne State University is
~~\$227,787,300.00, \$227,908,900.00,~~ \$227,310,200.00 for operations,
 \$0.00 for operations increase, ~~\$0.00 for MPERS support payment,~~
 and ~~\$477,100.00~~ **\$598,700.00** for costs incurred under the North
 American Indian tuition waiver.

(o) The appropriation for Western Michigan University is
~~\$125,246,700.00, \$121,231,800.00~~ **\$125,265,800.00, \$124,489,300.00**
 for operations, \$0.00 for operations increase, ~~\$3,257,500.00 for~~
~~MPERS support payment,~~ and ~~\$757,400.00~~ **\$776,500.00** for costs
 incurred under the North American Indian tuition waiver.

(3) The amount appropriated in subsection (2) for public
 universities is ~~\$1,754,478,200.00, \$1,755,308,900.00,~~ appropriated
 from the following:

(a) State school aid fund, \$643,168,300.00.

(b) State general fund/general purpose money,
~~\$1,111,309,900.00~~ **\$1,112,140,600.00.**

(4) The amount appropriated for Michigan public school
 employees' retirement system reimbursement is \$0.00.

(5) The amount appropriated for state and regional programs is
 \$322,100.00, appropriated from general fund/general purpose money



1 and allocated as follows:

2 (a) Higher education database modernization and conversion,
3 \$200,000.00.

4 (b) Midwestern Higher Education Compact, \$122,100.00.

5 (6) The amount appropriated for the Martin Luther King, Jr. -
6 ~~Cesar Chavez~~ **Dolores Huerta - Morris Hood Jr.** - Rosa Parks program
7 is \$2,691,500.00, appropriated from general fund/general purpose
8 money and allocated as follows:

9 (a) Select student support services, \$1,956,100.00.

10 (b) Michigan college/university partnership program,
11 \$586,800.00.

12 (c) Morris Hood, Jr. educator development program,
13 \$148,600.00.

14 (7) Subject to subsection (8), the amount appropriated for
15 grants and financial aid is ~~\$469,500,000.00, \$760,300,000.00,~~
16 allocated as follows:

17 (a) Tuition incentive program, ~~\$122,300,000.00.~~
18 **\$156,100,000.00.**

19 (b) Children of veterans and officer's survivor tuition grant
20 programs, \$2,000,000.00.

21 (c) Project GEAR-UP, \$3,200,000.00.

22 (d) Michigan achievement scholarships, ~~\$300,000,000.00.~~
23 **\$532,000,000.00.** From this amount, up to \$10,000,000.00 may be used
24 to award skills scholarships under section 248a.

25 (e) Michigan reconnect, ~~\$42,000,000.00.~~ **\$67,000,000.00.**

26 (8) The money appropriated in subsection (7) for grants and
27 financial aid is appropriated from the following:

28 (a) Federal revenues under the United States Department of
29 Education, Office of Elementary and Secondary Education, GEAR-UP



1 program, \$3,200,000.00.

2 (b) Postsecondary scholarship fund, ~~\$300,000,000.00.~~
3 **\$532,000,000.00.**

4 **(c) School aid fund, \$25,000,000.00.**

5 **(d) ~~(e)~~ State general fund/general purpose money,**
6 **~~\$166,300,000.00.~~\$200,100,000.00.**

7 **(e) ~~(d)~~** At the close of the fiscal year, state general
8 fund/general purpose money appropriated in subsection (7) for
9 grants and scholarships that is unspent must be deposited into the
10 postsecondary scholarship fund created in section 236j.

11 (9) For fiscal year ~~2025-2026~~**2026-2027** only, in addition to
12 the allocation under subsection (4), from the appropriations
13 described in subsection (1), there is allocated an amount not to
14 exceed ~~\$7,600,000.00~~**\$1,750,000.00** for payments to participating
15 public universities, appropriated from the state school aid fund. A
16 public university that receives money under this subsection shall
17 use that money solely for the purpose of offsetting the normal cost
18 contribution rate. As used in this subsection, "participating
19 public universities" means public universities that are a reporting
20 unit of the Michigan public school employees' retirement system
21 under the public school employees retirement act of 1979, 1980 PA
22 300, MCL 38.1301 to 38.1437, and that pay contributions to the
23 Michigan public school employees' retirement system for the state
24 fiscal year.

25 **(10) It is the intent of the legislature that \$43,500,000.00**
26 **of the general fund/general purpose money appropriated in**
27 **subsections (7) (a) and (8) (d) for the tuition incentive program is**
28 **for the fiscal year 2026-2027 only.**

29 Sec. 236c. In addition to the funds appropriated for fiscal



year ~~2025-2026~~**2026-2027** in section 236, appropriations to the department of technology, management, and budget in the act providing general appropriations for fiscal year ~~2025-2026~~**2026-2027** for state building authority rent, totaling an estimated ~~\$142,153,900.00,~~**\$153,218,900.00**, provide funding for the state share of costs for previously constructed capital projects for state universities. These appropriations for state building authority rent represent additional state general fund support provided to public universities, and the following is an estimate of the amount of that support to each public university:

(a) Central Michigan University, \$12,914,000.00.

(b) Eastern Michigan University, ~~\$6,022,000.00.~~**\$8,272,000.00.**

(c) Ferris State University, \$9,546,000.00.

(d) Grand Valley State University, ~~\$8,614,000.00.~~

\$10,864,000.00.

(e) Lake Superior State University, \$2,229,000.00.

(f) Michigan State University, \$16,598,000.00.

(g) Michigan Technological University, \$5,521,000.00.

(h) Northern Michigan University, \$9,735,900.00.

(i) Oakland University, ~~\$11,245,000.00.~~**\$13,310,000.00.**

(j) Saginaw Valley State University, \$7,820,000.00.

(k) University of Michigan - Ann Arbor, \$14,068,000.00.

(l) University of Michigan - Dearborn, \$10,725,000.00.

(m) University of Michigan - Flint, ~~\$6,057,000.00.~~

\$8,307,000.00.

(n) Wayne State University, ~~\$10,072,000.00.~~**\$12,322,000.00.**

(o) Western Michigan University, \$10,987,000.00.

Sec. 236d. (1) In addition to the funds appropriated under section 232(2) for university operations, for fiscal year ~~2025-2026~~



1 **2026-2027** only, there is appropriated an amount not to exceed
 2 ~~\$50,114,100.00~~ **\$69,760,300.00** from the ~~state general fund/general~~
 3 ~~purpose money~~ **school aid fund** for 1-time operations increase
 4 payments. These funds are intended to be used for the same purposes
 5 as the funds appropriated under section 236(2) for university
 6 operations.

7 (2) From the amount appropriated under subsection (1), **subject**
 8 **to sections 241a, 241b, 241c, 241e, and 244**, each university is
 9 allocated the following:

10 (a) Central Michigan University, ~~\$2,885,000.00~~ **\$3,920,600.00.**

11 (b) Eastern Michigan University, ~~\$2,544,200.00~~ **\$3,457,500.00.**

12 (c) Ferris State University, ~~\$1,812,200.00~~ **\$2,462,700.00.**

13 (d) Grand Valley State University, ~~\$2,955,400.00.~~

14 **\$3,911,200.00.**

15 (e) Lake Superior State University, ~~\$438,300.00~~ **\$595,600.00.**

16 (f) Michigan State University, ~~\$9,740,500.00~~ **\$12,890,700.00.**

17 (g) Michigan Technological University,

18 ~~\$1,650,000.00~~ **\$2,242,300.00.**

19 (h) Northern Michigan University, ~~\$1,601,100.00~~ **\$2,175,900.00.**

20 (i) Oakland University, ~~\$2,212,700.00~~ **\$2,928,300.00.**

21 (j) Saginaw Valley State University,

22 ~~\$1,036,000.00~~ **\$1,371,000.00.**

23 (k) University of Michigan - Ann Arbor,

24 ~~\$10,924,800.00~~ **\$14,458,000.00.**

25 (l) University of Michigan - Dearborn,

26 ~~\$954,700.00~~ **\$1,263,500.00.**

27 (m) University of Michigan - Flint, ~~\$799,900.00~~ **\$1,058,600.00.**

28 (n) Wayne State University, ~~\$6,886,500.00~~ **\$9,113,600.00.**

29 (o) Western Michigan University, ~~\$3,672,800.00~~ **\$4,991,200.00.**



1 (3) In addition to the funds appropriated in section 236(2)
2 for MSU AgBioResearch, for fiscal year ~~2025-2026-2026-2027~~ only,
3 there is appropriated an amount not to exceed ~~\$1,184,400.00~~
4 **\$1,567,500.00** from the state general fund/general purpose money for
5 MSU AgBioResearch.

6 (4) In addition to the funds appropriated in section 236(2)
7 for MSU Extension, for fiscal year ~~2025-2026-2026-2027~~ only, there
8 is appropriated an amount not to exceed ~~\$1,021,700.00~~ **\$1,352,100.00**
9 from the state general fund/general purpose money for MSU
10 Extension.

11 Sec. 236j. (1) The postsecondary scholarship fund is created
12 in the department of treasury for the purpose of providing
13 scholarship awards to eligible students who attend eligible
14 postsecondary educational institutions in this state, as provided
15 in subsection (5).

16 (2) The state treasurer may receive money or other assets from
17 any source for deposit into the postsecondary scholarship fund. The
18 state treasurer shall direct the investment of the postsecondary
19 scholarship fund. The state treasurer shall credit to the
20 postsecondary scholarship fund interest and earnings from
21 postsecondary scholarship fund investments.

22 (3) Money in the postsecondary scholarship fund at the close
23 of the fiscal year must remain in the postsecondary scholarship
24 fund and not lapse to the general fund.

25 (4) The department of treasury is the administrator of the
26 postsecondary scholarship fund for auditing purposes.

27 (5) Money must be expended from the postsecondary scholarship
28 fund only for the purpose of providing Michigan achievement
29 scholarship awards to eligible students who attend eligible



1 postsecondary educational institutions in this state and for other
 2 purposes described in this section. ~~From~~ **Subject to section 236k,**
 3 **from** the funds appropriated in section 236(7) for the Michigan
 4 achievement scholarship, the department of lifelong education,
 5 advancement, and potential may use up to ~~\$10,000,000.00~~
 6 **\$5,000,000.00** annually for the purposes of outreach programs to
 7 raise awareness of the Michigan achievement scholarship and other
 8 state scholarship programs allocated in section 236(7). The
 9 department of lifelong education, advancement, and potential shall
 10 ensure that state scholarships are well publicized and that high
 11 school students are provided information on the availability of
 12 financial aid. The department of lifelong education, advancement,
 13 and potential may receive and expend funds received from outside
 14 sources for scholarships, marketing, or other purposes related to
 15 Michigan state scholarships. The department of lifelong education,
 16 advancement, and potential shall provide the necessary funding and
 17 staff to fully operate the programs.

18 (6) For the fiscal year ending September 30, ~~2026,~~ **2027,**
 19 ~~\$300,000,000.00~~ **\$200,000,000.00** of ongoing funding is deposited
 20 into the postsecondary scholarship fund from the ~~following:~~

21 ~~(a) State~~ **state** school aid fund. ~~, \$200,000,000.00.~~

22 ~~(b) State general fund/general purpose money, \$100,000,000.00.~~

23 **(7) In addition to the deposit under subsection (6), for the**
 24 **fiscal year ending September 30, 2027 only, \$100,000,000.00 is**
 25 **deposited into the postsecondary scholarship fund from state**
 26 **general fund/general purpose money.**

27 **(8)** ~~(7)~~ It is the intent of the legislature that the
 28 postsecondary scholarship fund serves as the primary funding source
 29 of the Michigan achievement scholarship. To ensure the Michigan



1 achievement scholarship provides ongoing supports for students, it
 2 is the intent of the legislature to increase annual deposits into
 3 the postsecondary scholarship fund until the fully implemented
 4 costs of the Michigan achievement scholarship are deposited
 5 annually into the postsecondary scholarship fund.

6 **(9) ~~(8)~~**—In addition to the appropriations in section 236, if
 7 the amount of ~~general fund money~~ **state funds** allocated in section
 8 236(7)(a), (b), (d), or (e) is not sufficient to fully fund 1 or
 9 more of those awards, there is appropriated from the postsecondary
 10 scholarship fund the amount necessary to fully fund those awards.
 11 The state budget director **must determine if money is appropriated**
 12 **from the postsecondary scholarship fund under this subsection and**
 13 shall provide written notification to the house and senate
 14 appropriations subcommittee on higher education and the house and
 15 senate fiscal agencies prior to any additional appropriation
 16 described in this subsection.

17 ~~(9) In addition to the deposit to the postsecondary~~
 18 ~~scholarship fund described in subsection (6), for the fiscal year~~
 19 ~~ending September 30, 2025 only, an amount not to exceed~~
 20 ~~\$80,000,000.00 from the unspent and unreserved state school aid~~
 21 ~~fund balances appropriated under section 11, as recorded as part of~~
 22 ~~the state book closing process for the 2024-2025 fiscal year, is~~
 23 ~~deposited into the postsecondary scholarship fund.~~

24 **Sec. 236k. From the amount described under section 236j(5) for**
 25 **marketing of the Michigan achievement scholarship and other state**
 26 **scholarship programs, \$1,000,000.00 must be allocated for the FAFSA**
 27 **completion ticket to tuition incentive. The department of lifelong**
 28 **education, advancement, and potential shall use funds described**
 29 **under this section to run a promotional activity to promote**



1 completing the Free Application for Federal Student Aid (FAFSA) for
 2 the first time consistent with the promotional-activity exception
 3 provided for in section 372(2) of the Michigan penal code, 1931 PA
 4 328, MCL 750.372. The promotional activity must offer prize funds
 5 that are available to a number, chosen by the department, of
 6 randomly selected Michigan residents who satisfactorily demonstrate
 7 to the department that they have completed the FAFSA for the first
 8 time.

9 Sec. 236s. (1) ~~Not later than~~ **Within** 30 days after ~~of~~ the
 10 enactment of ~~the an~~ amendatory act ~~that added this section, to this~~
 11 **article**, the legislature ~~house and senate~~ shall provide to the
 12 responsible entity ~~and the state budget director office~~ a **jointly**
 13 **agreed upon** list of legislatively directed spending items ~~, which~~
 14 ~~may be referred to in this section as grants or direct~~
 15 ~~appropriation grants, funded under the amendatory act that added~~
 16 ~~this section consistent with house or senate rules and this~~
 17 ~~section.~~ **funded by the amendatory act.** The list must include all
 18 information and documents pertaining to the funded items as
 19 publicly disclosed in accordance with ~~house or senate rules and~~
 20 ~~this section.~~ **section 364 and 364a of the management and budget**
 21 **act, 1984 PA 431, MCL 18.1364 and 18.1634a. As used in this**
 22 **subsection, "legislatively directed spending item" means that term**
 23 **as defined in section 364 of the management and budget act, 1984 PA**
 24 **431, MCL 18.1364.**

25 ~~(2) Notwithstanding any other conditions or requirements for~~
 26 ~~direct appropriation grants, the responsible entity shall perform,~~
 27 ~~at a minimum, at least all of the following activities to~~
 28 ~~administer the grants described in subsection (1):~~

29 ~~(a) Establish a process to review, complete, and execute a~~



~~grant agreement with a grant recipient. The responsible entity shall not execute a grant agreement unless all necessary documentation has been submitted and reviewed.~~

~~(b) Verify to the extent possible that a grant recipient is a not-for-profit entity and will use funds as publicly disclosed and for a public purpose that serves the economic prosperity, health, safety, or general welfare of the residents of this state.~~

~~(c) Review and verify all necessary information to ensure the grant recipient is reasonably able to execute the grant agreement, perform its fiduciary duty, and comply with all applicable state and federal statutes. The responsible entity may deduct the cost of background checks and any other efforts performed as part of this verification from the amount of the designated grant award.~~

~~(d) Disburse the grant money per the grant disbursement schedule in the executed grant agreement on a reimbursement basis after the grantee has provided sufficient documentation, as determined by the responsible entity, to verify that expenditures were made in accordance with the project purpose.~~

~~(e) If the state budget director determines that information provided by the grantee does not meet the disclosure requirements, that the grant will be used to pay a tax lien, delinquent tax, or other obligation owed to this state, or that the grant will create a conflict of interest, the responsible entity shall not release the grant money to the grantee. Money that is not released under this subdivision lapses at the end of the fiscal year. There is not a conflict of interest if the sponsoring legislator certifies that the sponsoring legislator's immediate family members, legislative staff members that have worked for the sponsoring legislator within the past 2 years, and the sponsoring legislator do not have a~~



1 ~~direct or indirect pecuniary interest in the legislatively directed~~
2 ~~spending item.~~

3 ~~(3) An executed grant agreement under this section between the~~
4 ~~responsible entity and a grant recipient must include at least all~~
5 ~~of the following:~~

6 ~~(a) All necessary identifying information for the grant~~
7 ~~recipient, including any tax and financial information necessary~~
8 ~~for the responsible entity to administer grant money under this~~
9 ~~section.~~

10 ~~(b) A description of the project for which the grant money~~
11 ~~will be expended, including tentative timelines and the estimated~~
12 ~~budget. Project budget must include how all grant money will be~~
13 ~~used and must indicate if any grant money will be provided to a~~
14 ~~third party or subrecipient. The responsible entity shall not~~
15 ~~reimburse expenditures that are outside of the project purpose, as~~
16 ~~stated in the executed grant agreement, from appropriations under~~
17 ~~the amendatory act that added this section. The grantee shall~~
18 ~~return to the state treasury any interest in excess of \$1,000.00~~
19 ~~earned on the grant money while unexpended and in possession of the~~
20 ~~grantee.~~

21 ~~(c) Unless otherwise specified in the responsible entity's~~
22 ~~policy, a requirement that funds appropriated for the grants~~
23 ~~described in subsection (1) may be used only for expenditures that~~
24 ~~occur on or after the effective date of the amendatory act that~~
25 ~~added this section.~~

26 ~~(d) A requirement for reporting by the grant recipient to the~~
27 ~~responsible entity and the legislative sponsor that provides the~~
28 ~~status of the project and an accounting of all money expended by~~
29 ~~the grant recipient, as determined by the responsible entity.~~



1 ~~(e) A clawback provision that allows the department of~~
2 ~~treasury to recoup or otherwise collect any grant money that is~~
3 ~~declined, unspent, or otherwise misused.~~

4 ~~(f) The documents publicly disclosed under subsection (1).~~

5 ~~(4) If appropriate to improve the administration or oversight~~
6 ~~of a grant described in subsection (1), the responsible entity may~~
7 ~~adopt a memorandum of understanding with another state department~~
8 ~~to perform the required duties under this section.~~

9 ~~(5) A grant recipient shall respond to all reasonable~~
10 ~~information requests from the responsible entity related to grant~~
11 ~~expenditures and retain grant records for not less than 7 years,~~
12 ~~and the grant may be subject to monitoring, site visits, and audit~~
13 ~~as determined by the responsible entity. The grant agreement~~
14 ~~required under this section must include signed assurance by the~~
15 ~~chief executive officer or other executive officer of the grant~~
16 ~~recipient authorized to bind the grant recipient that the~~
17 ~~requirements of this subsection will be met.~~

18 ~~(6) The grant recipient shall expend all grant money awarded~~
19 ~~and complete all projects not later than September 30, 2030. If at~~
20 ~~that time any unexpended money remains, the grant recipient shall~~
21 ~~return that money to the state treasury. If a grant recipient does~~
22 ~~not provide information sufficient to execute a grant agreement not~~
23 ~~later than June 1, 2026, the responsible entity shall return money~~
24 ~~associated with the grant to the state treasury.~~

25 ~~(7) Any grant money that is awarded to a responsible entity is~~
26 ~~appropriated in that responsible entity for the purpose of the~~
27 ~~intended grant.~~

28 ~~(2) (8) Except as otherwise provided in subsection (9),~~
29 ~~beginning March 15 of the current fiscal year, the responsible~~



~~entity~~ In accordance with section 364(4) of the management and budget act, 1984 PA 431, MCL 18.364(4), the department or agency administering the grant shall post a report in a publicly accessible location on its website **beginning March 15 of the current fiscal year.** ~~The report must list the grant recipient, project purpose, and location of the project for each grant described in subsection (1), the status of money allocated and disbursed under the grant agreement, and the legislative sponsor, if applicable. The responsible entity~~ **The department or agency** shall update the report and post ~~the~~ **an** updated report in a publicly accessible location on its website not later than June 15 of the current fiscal year and again not later than September 15 of the current fiscal year. ~~The responsible entity~~ **department or agency** shall include in the report the most comprehensive information the ~~responsible entity~~ **department or agency** has available at the time of posting for grants awarded.

~~(9) If the state budget office determines that it is more efficient for the state budget office to compile all affected responsible entities' information and post a report of the compiled information rather than the report required under subsection (8) being posted by individual responsible entities, the state budget office may compile that information across all affected responsible entities and other state departments and post the compiled report and any updates on the same time schedule as identified in subsection (8).~~

~~(10) If the responsible entity reasonably determines that the money allocated for an executed grant agreement under this section was misused or that use of the money was misrepresented by the grant recipient, the responsible entity shall not award any~~



~~additional funds under the executed grant agreement and shall refer the grant for review following internal audit protocols, which may include referral for criminal investigation.~~

~~(11) As used in this section, "responsible entity" means the department of lifelong education, advancement, and potential, a public university, or other person that administers a grant under this article.~~

Sec. 241. Subject to sections 241a, 241b, 241c, 241e, ~~241h,~~ and 244, the funds appropriated in sections 236 and 236d to public universities must be paid out of the state treasury and distributed by the state treasurer to the respective institutions in 11 equal monthly installments on the sixteenth of each month, or the next succeeding business day, beginning with October 16, ~~2025.~~ **2026.** Except for Wayne State University, each institution shall accrue its July and August ~~2026~~ **2027** payments to its institutional fiscal year ending June 30, ~~2026.~~ **2027.**

Sec. 241a. (1) All public universities shall submit higher education institutional data inventory (HEIDI) data and associated financial aid program information requested by and in a manner prescribed by the state budget director. For public universities with fiscal years ending June 30, these data must be submitted to the state budget director by October 15 of each fiscal year. Public universities with a fiscal year ending September 30 shall submit preliminary HEIDI data by November 15 and final data by December 15.

(2) It is intended that accountability reporting for public universities will be streamlined through HEIDI. The state budget director and the center will work to combine the reporting requirements outlined in this subsection with the existing HEIDI



1 collection cycle. All of the following must be reported to the
2 house and senate fiscal agencies and the state budget director:

3 (a) Each public university's certification of its compliance
4 with the requirements described in subsections (4), ~~and (5)~~, and
5 **(6)**.

6 (b) The reporting requirements described in sections 241b and
7 241c.

8 (3) If a public university fails to submit HEIDI data and
9 associated ~~financial aid program information~~ **reporting in sections**
10 **241a, 241b, 241c, and 244** in accordance with the required reporting
11 schedule, the state ~~treasurer~~ **budget director** may withhold the
12 monthly operations installments under ~~section~~ **sections 236 and 236d**
13 to the public university until those ~~data~~ **reports** are submitted. If
14 a public university does not comply with all of the requirements
15 described in ~~subsections (4) and (5)~~ **sections 241a, 241b, 241c, and**
16 **244** by the end of the fiscal year, the public university forfeits
17 the amount withheld. The state budget director shall notify the
18 chairs of the house and senate appropriations subcommittees on
19 higher education at least 10 days before withholding funds from any
20 public university.

21 (4) No later than **the first business day of** November ~~1~~ **of** each
22 year, a public university shall maintain a public transparency
23 website available through a link on its website homepage. The
24 website must include all of the following concerning the public
25 university:

26 (a) The annual operating budget and subsequent budget
27 revisions.

28 (b) A summary of current expenditures for the most recent
29 fiscal year for which they are available, expressed as pie charts



1 in the following 2 categories:

2 (i) A chart of personnel expenditures, broken into the
3 following subcategories:

4 (A) Earnings and wages.

5 (B) Employee benefit costs, including, but not limited to,
6 medical, dental, vision, life, disability, and long-term care
7 benefits.

8 (C) Retirement benefit costs.

9 (D) All other personnel costs.

10 (ii) A chart of all current expenditures the public university
11 reported as part of its higher education institutional data
12 inventory data under subsection (1), broken into the same
13 subcategories in which it reported those data.

14 (c) Links to all of the following for the public university:

15 (i) The current collective bargaining agreement for each
16 bargaining unit.

17 (ii) Each health care benefits plan, including, but not limited
18 to, medical, dental, vision, disability, long-term care, or any
19 other type of benefits that would constitute health care services,
20 offered to any bargaining unit or employee of the public
21 university.

22 (iii) Audits and financial reports for the most recent fiscal
23 year for which they are available.

24 (d) General fund revenue and expenditure projections for the
25 current fiscal year and the next fiscal year.

26 (e) A listing of all debt service obligations, detailed by
27 project, anticipated fiscal year payment for each project, and
28 total outstanding debt for the current fiscal year.

29 (f) The institution's policy regarding the transferability of



1 core college courses between community colleges and the public
2 university.

3 (g) A listing of all community colleges that have entered into
4 reverse transfer agreements with the public university.

5 (h) A dashboard or report card demonstrating the public
6 university's performance in several "best practice" measures. The
7 dashboard or report card must include at least all of the following
8 for the 3 most recent academic years for which the data are
9 available:

10 (i) Enrollment.

11 (ii) Student retention rate.

12 (iii) Six-year graduation rates.

13 (iv) Number of Pell grant recipients and graduating Pell grant
14 recipients.

15 (v) Geographic origination of students, categorized as in-
16 state, out-of-state, and international.

17 (vi) Faculty to student ratios and total public university
18 employee to student ratios.

19 (vii) Teaching load by faculty classification.

20 (viii) Graduation outcome rates, including employment and
21 continuing education.

22 (i) An icon badge that provides statewide consistency and
23 public visibility. For this purpose, public universities shall use
24 the icon badge provided by the department of technology,
25 management, and budget consistent with the icon badge developed by
26 the department of education for K-12 school districts. It must
27 appear on the front of each public university's homepage. The size
28 of the icon may be reduced to 150 x 150 pixels. The font size and
29 style for this reporting must be consistent with other documents on



1 each public university's website.

2 (j) A collection and report of the number and percentage of
3 all enrolled students who complete the Free Application for Federal
4 Student Aid, broken out by undergraduate and graduate/professional
5 classifications, reported to the center and posted on its website
6 under the budget transparency icon badge.

7 (k) The name of the current president, the names of the city
8 and state where the president currently resides, and the
9 president's annual salary.

10 **(l) A list of severance payments and the amounts of those**
11 **payments made to former employees of the university.**

12 (5) No later than **the first business day of** November ~~1~~**of** each
13 year, a public university shall develop, maintain, and update a
14 "campus safety information and resources" link, prominently
15 displayed on the homepage of its website, to a section of its
16 website containing, at a minimum, all of the following information:

17 (a) Emergency contact numbers for police, fire, health, and
18 other services.

19 (b) Hours, locations, telephone numbers, and email contacts
20 for campus public safety offices and title IX offices.

21 (c) A list of safety and security services provided by the
22 public university, including transportation, escort services,
23 building surveillance, anonymous tip lines, and other available
24 security services.

25 (d) The public university's policies applicable to minors on
26 university property.

27 (e) A directory of resources available at the public
28 university or surrounding community for students or employees who
29 are survivors of sexual assault or sexual abuse.



(f) An electronic copy of "A Resource Handbook for Campus Sexual Assault Survivors, Friends and Family", published in 2018.

(g) Campus security policies and crime statistics pursuant to the student right-to-know and campus security act, Public Law 101-542, 104 Stat 2381. Information must include all material prepared pursuant to the public information reporting requirements under the crime awareness and campus security act of 1990, title II of the student right-to-know and campus security act, Public Law 101-542, 104 Stat 2381.

(6) Each public university shall certify to the state budget director by the first business day of November of each year that it complies with all of the following requirements:

(a) The public university participates in reverse transfer agreements described in section 286 with at least 3 community colleges in this state.

(b) The public university does not and will not apply any of the following criteria when determining whether credits earned outside the public university by a student count toward a degree or certificate program offered by the public university:

(i) Whether the credits were earned in a dual enrollment program that counted the credits toward high school graduation requirements.

(ii) Whether the credits were earned in a course that was delivered in a high school classroom, community college classroom or campus, or another location.

(iii) Whether the credits were earned in a course that was delivered online, in person, or hybrid.

(iv) Whether other students enrolled in the course in which the credits were earned were enrolled in high school or counted the



1 course toward high school graduation requirements.

2 (c) The public university actively participates in and submits
3 timely updates to the Michigan Transfer Network created as part of
4 the Michigan Association of Collegiate Registrars and Admissions
5 Officers transfer agreement.

6 Sec. 241b. (1) No later than the first business day of
7 November ~~1~~of each year, each public university that receives an
8 appropriation in section 236 shall report its annual security
9 report, also known as the Clery Act Report, as required under 20
10 USC 1092(f). Each public university shall include a title IX
11 summary report that includes all of the following information:

12 (a) The amounts and descriptions of all fees incurred in title
13 IX-related civil and criminal litigation.

14 (b) The number of title IX complaints.

15 (c) The average length of time for investigation and
16 resolution of title IX complaints.

17 (d) The aggregate number of title IX cases, investigations,
18 and complaints for each of the categories described in
19 subparagraphs (i) to (v), subject to subparagraph (vi), as follows:

20 (i) Cases investigated for less than 15 days.

21 (ii) Cases investigated for at least 15 days and less than 30
22 days.

23 (iii) Cases investigated for at least 30 days and less than 60
24 days.

25 (iv) Cases investigated for at least 60 days and less than 90
26 days.

27 (v) Cases investigated for 90 days or more.

28 (vi) If, for any category of cases under subparagraphs (i) to
29 (v), there is an aggregate of fewer than 5 cases investigated, the



1 public university shall not report the aggregate number of cases
2 and instead shall report that fewer than 5 cases were investigated.

3 (e) The number of title IX appeals and the resolutions of
4 those appeals.

5 (f) The number of title IX-related complaints filed by the
6 public university with law enforcement agencies.

7 (2) No later than **the first business day of** November ~~1~~**of** each
8 year, each public university that receives an appropriation in
9 section 236 shall certify all of the following:

10 (a) The public university complies with federal regulations
11 under title IX, as required by the United States Department of
12 Education, including, but not limited to, the following:

13 (i) Use of medical experts that do not have an actual or
14 apparent conflict of interest.

15 (ii) Issuance of title IX reports to complainants and
16 respondents that are not divergent.

17 (iii) Notification of resources to each individual who reports
18 having experienced sexual assault by a public university member.

19 (iv) Consistent annual training for title IX staff and law
20 enforcement.

21 (b) The public university provides both of the following:

22 (i) An in-person sexual misconduct prevention presentation or
23 course for all freshman and incoming transfer students, which must
24 include contact information for the title IX office of the public
25 university. For a student who does not have any in-person credit
26 hours on campus, the university may provide the presentation or
27 course electronically.

28 (ii) An online or electronic sexual misconduct prevention
29 presentation or course for all students not considered freshmen or



1 incoming transfer students.

2 (c) The public university had a third party review its title
3 IX compliance office and related policies and procedures by the end
4 of the 2018-2019 academic year. A copy of the third-party review
5 must be transmitted to the state budget director, the house and
6 senate appropriations subcommittees on higher education, and the
7 house and senate fiscal agencies. Each public university shall have
8 a third-party review once every 4 years and a copy of the third-
9 party review must be transmitted to the state budget director, the
10 house and senate appropriations subcommittees on higher education,
11 and the house and senate fiscal agencies.

12 (d) The public university requires that the governing board
13 and the president or chancellor of the public university receive
14 quarterly reports from their title IX coordinator or title IX
15 office. The report must contain aggregated data of the number of
16 sexual misconduct reports that the office received for the academic
17 year, the types of reports received, including reports received
18 against employees, and a summary of the general outcomes of the
19 reports and investigations. A member of the governing board may
20 request to review a title IX investigation report involving a
21 complaint against an employee, and the public university shall
22 provide the report in a manner it considers appropriate. The public
23 university shall protect the complainant's anonymity, and the
24 report must not contain specific identifying information.

25 (e) If allegations against an employee are made in more than 1
26 title IX complaint that resulted in the public university finding
27 that no misconduct occurred, the public university requires that
28 the title IX officer promptly notify the president or chancellor
29 and a member of the public university's governing board in writing



1 and take all appropriate steps to ensure that the matter is being
 2 investigated thoroughly, including hiring an outside investigator
 3 for future cases involving that employee. A third-party title IX
 4 investigation under this subdivision does not prohibit the public
 5 university from simultaneously conducting its own title IX
 6 investigation through its own title IX coordinator.

7 (f) The public university's president or chancellor and a
 8 member of its governing board has reviewed all title IX reports
 9 involving the alleged sexual misconduct of an employee of the
 10 public university.

11 (3) As used in this section, "sexual misconduct" includes, but
 12 is not limited to, intimate partner violence, nonconsensual sexual
 13 conduct, sexual assault, sexual exploitation, sexual harassment,
 14 and stalking.

15 Sec. 241c. (1) No later than the ~~first-last~~ business day of
 16 ~~November~~**August of** each year, each public university that receives
 17 an appropriation in section 236 shall submit the amount of tuition
 18 and fees actually charged to a full-time resident undergraduate
 19 student for academic year ~~2025-2026~~**2026-2027** as part of the public
 20 university's higher education institutional data inventory (HEIDI)
 21 data. A public university shall report any revisions for any
 22 semester of the reported academic year to HEIDI within 15 days of
 23 being adopted.

24 (2) Payments under section 236d must be made only to a public
 25 university that ~~certifies~~**provides the following certifications** to
 26 the state budget director by the ~~first-last~~ business day of
 27 ~~November~~**August of** each year:~~that its board did not adopt an~~
 28 ~~increase in tuition and fee rates for resident undergraduate~~
 29 ~~students after September 1, 2024 for the 2024-2025 academic year~~



~~and that its board will not adopt an increase in tuition and fee rates for resident undergraduate students for the 2025-2026 academic year that is greater than 4.5% or \$735.00, whichever is greater. For the academic year 2026-2027, the tuition and fee restraint rate for resident undergraduate students is an increase of not greater than 4.0% or \$651.00, whichever is greater. It is the intent of the legislature that in the next fiscal year, the tuition and fee restraint rate will be adjusted only for the subsequent academic year. As used in this subsection:~~

~~(a) "Fee" means any board-authorized fee that will be paid by more than 1/2 of all resident undergraduate students at least once during their enrollment at a public university, as described in the higher education institutional data inventory (HEIDI) user manual. A public university increasing a fee that applies to a specific subset of students or courses shall provide sufficient information to prove that the increase applied to that subset will not cause the increase in the average amount of board-authorized total tuition and fees paid by resident undergraduate students in the academic year to exceed the limit established in this subsection.~~

~~(b) "Tuition and fee rate" means the average of full-time rates paid by a majority of students in each undergraduate class, based on an unweighted average of the rates authorized by the public university board and actually charged to students, deducting any uniformly rebated or refunded amounts, for the 2 semesters with the highest levels of full-time equated resident undergraduate enrollment during the academic year, as described in the higher education institutional data inventory (HEIDI) user manual.~~

~~(3) Each public university shall certify to the state budget director by the first business day of November each year that it~~



~~complies with all of the following requirements:~~

~~(a) The public university participates in reverse transfer agreements described in section 286 with at least 3 community colleges in this state.~~

~~(b) The public university does not and will not apply any of the following criteria when determining whether credits earned outside the public university by a student count toward a degree or certificate program offered by the public university:~~

~~(i) Whether the credits were earned in a dual enrollment program that counted the credits toward high school graduation requirements.~~

~~(ii) Whether the credits were earned in a course that was delivered in a high school classroom, community college classroom or campus, or another location.~~

~~(iii) Whether the credits were earned in a course that was delivered online, in person, or hybrid.~~

~~(iv) Whether other students enrolled in the course in which the credits were earned were enrolled in high school or counted the course toward high school graduation requirements.~~

~~(c) The public university actively participates in and submits timely updates to the Michigan Transfer Network created as part of the Michigan Association of Collegiate Registrars and Admissions Officers transfer agreement.~~

(a) That the university's board did not adopt an increase in tuition and fee rates for resident undergraduate students after September 1, 2025 for the 2025-2026 academic year and that its board will not adopt an increase in tuition and fee rates for resident undergraduate students for the 2026-2027 academic year that is greater than 4.0% or \$651.00, whichever is greater. For the

1 academic year 2027-2028, the tuition and fee restraint rate for
 2 resident undergraduate students is an increase of not greater than
 3 3.5% or \$599.00, whichever is greater.

4 (b) For academic year 2027-2028, either of the following:

5 (i) That the university does not have a mandatory on-campus
 6 housing policy reportable under section 275m.

7 (ii) That the university does have a mandatory on-campus
 8 housing policy reportable under section 275m, and that it will not
 9 adopt an increase in room and board charges that would cause the
 10 average charge for academic year 2027-2028 relative to academic
 11 year 2027-2028 reported under section 275m to increase by an amount
 12 exceeding 3.5% or \$446.00, whichever is greater.

13 (3) ~~(4)~~—The state budget director shall implement uniform
 14 reporting requirements to ensure that a public university receiving
 15 a payment under section 236d has satisfied the tuition restraint
 16 requirements of this section. The state budget director has the
 17 sole authority to determine if a public university has met the
 18 requirements of this section. Information reported by a public
 19 university to the state budget director under this subsection must
 20 also be reported to the house and senate appropriations
 21 subcommittees on higher education and the house and senate fiscal
 22 agencies.

23 (4) As used in this section:

24 (a) "Fee" means any public university board-authorized fee
 25 that will be paid by more than 1/2 of all resident undergraduate
 26 students at least once during their enrollment at the public
 27 university, as described in the higher education institutional data
 28 inventory (HEIDI) user manual. A public university increasing a fee
 29 that applies to a specific subset of students or courses shall



1 provide sufficient information to prove that the increase applied
 2 to that subset will not cause the increase in the average amount of
 3 board-authorized total tuition and fees paid by resident
 4 undergraduate students in the academic year to exceed the limit
 5 established in this subsection.

6 (b) "Room and board charges" means 1 or more accommodations
 7 and meal plans used by a public university to calculate the average
 8 charge reported under section 275m(1)(c).

9 (c) "Tuition and fee rate" means the average of full-time
 10 rates paid by a majority of students in each undergraduate class,
 11 based on an unweighted average of the rates authorized by the
 12 public university board and actually charged to students, deducting
 13 any uniformly rebated or refunded amounts, for the 2 semesters with
 14 the highest levels of full-time equated resident undergraduate
 15 enrollment during the academic year, as described in the higher
 16 education institutional data inventory (HEIDI) user manual.

17 Sec. 241e. (1) Payments under section ~~236 for operations~~
 18 ~~increase~~ **236d** must be made only to a public university that
 19 certifies to the ~~state budget director~~ **of the department of**
 20 **lifelong education, advancement, and potential, or the director's**
 21 **designee**, by the last business day of August **of** each year that it
 22 complies with the following:

23 ~~(a) The institutional best practice described in subdivision~~
 24 ~~(e).~~

25 ~~(b) One or more of the institutional best practices described~~
 26 ~~in subdivisions (d) to (g).~~

27 **(a)** ~~(e)~~ The public university accepts the Michigan Transfer
 28 Agreement, partners with the Michigan Transfer Network, and
 29 promotes clear transfer pathways for interested students by doing



1 all of the following:

2 (i) Has a policy to help transfer or accept associate degrees
3 from other accredited Michigan postsecondary education
4 institutions.

5 (ii) Publishes the policy described in subparagraph (i) on the
6 institution's website in an easily accessible way and in admissions
7 materials.

8 (iii) Provides publicly available information on the Michigan
9 Transfer Network, applicable transfer pathways, and financial aid
10 available to transfer students, at no cost to the student.

11 (iv) Begins negotiations to increase the number of reverse
12 transfer agreements or articulation agreements and reports on the
13 progress toward completing the agreements to the state budget
14 director by the last business day in February.

15 (b) ~~(d)~~—The public university requires all students to receive
16 an academic degree or certificate map that outlines required course
17 sequencing, program and institution requirements, declared minor
18 program academic requirements, and a recommended timeline within
19 which courses should be taken and in which specific semester or
20 term in order to satisfy all program requirements to allow the
21 student to graduate on time.

22 (c) ~~(e)~~—The public university provides non-credit-bearing
23 developmental or remedial courses at a reduced cost to students.

24 (d) ~~(f)~~—The public university provides each degree- or
25 certificate-seeking student with a designated, trained academic
26 advisor to support student retention, persistence, and completion.
27 The public university shall require students to meet with their
28 academic advisor at least once per semester or term.

29 (e) ~~(g)~~—The public university provides employees during



1 business hours to assist prospective and current students complete
2 the Free Application for Federal Student Aid.

3 (f) The public university has adopted a corequisite model of
4 academic support for gateway English and mathematics courses in
5 which a student concurrently enrolls in a developmental education
6 course and a gateway-level course in a subject area where the
7 student requires remediation. The public university must ensure
8 that not more than 10% of students assessed as being in need of
9 developmental or remedial learning participate in a non-co-
10 requisite developmental or remedial course.

11 (g) The public university has a policy and process for
12 assessing prior learning and knowledge that aligns with a student's
13 academic program and other required coursework. The policy must
14 include the opportunity for a student to earn credit toward a
15 degree or certificate, must be available to all students at no cost
16 to the student, and must be easily accessible on the public
17 university's website and in admissions materials.

18 (2) The ~~state budget~~ director of the department of lifelong
19 education, advancement, and potential, or the director's designee,
20 shall implement uniform reporting requirements to ensure that a
21 public university receiving a payment under section 236 ~~for~~
22 ~~operations increase~~ 236d has satisfied the institutional best
23 practices requirements of this section. The ~~state budget~~ director
24 of the department of lifelong education, advancement, and
25 potential, or the director's designee, has the sole authority to
26 determine if a public university has met the requirements of this
27 section. Information reported by a public university to the ~~state~~
28 ~~budget~~ director of the department of lifelong education,
29 advancement, and potential, or the director's designee, under this



1 subsection must also be reported to the house and senate
2 appropriations subcommittees on higher education and the house and
3 senate fiscal agencies.

4 (3) If a public university fails to comply with the
5 certification requirements of this section, the state treasurer may
6 withhold the monthly installments under section 241 to the public
7 university until the report is submitted. If a public university
8 does not comply with the certification requirements described in
9 this section by the end of the fiscal year, the public university
10 forfeits the amount withheld. Forfeited funds must lapse to the
11 fund from which the funds were appropriated. The ~~state budget~~
12 **director of the department of lifelong education, advancement, and**
13 **potential, or the director's designee**, shall notify the chairs of
14 the house and senate appropriations subcommittees on higher
15 education at least 10 days before withholding funds from any public
16 university.

17 (4) **No later than the last business day of November of each**
18 **year, each public university that receives a payment under section**
19 **236d must provide a report to the director of the department of**
20 **lifelong education, advancement, and potential, or the director's**
21 **designee, that includes the following information for the prior**
22 **academic year:**

23 (a) **College persistence for on-time completion defined by 30**
24 **credits completed for every 12 consecutive months of enrollment for**
25 **certificate- or degree-seeking students.**

26 (b) **College completion defined by certificate or degree**
27 **conferral.**

28 Sec. 247. (1) The funds appropriated in section 236 for
29 Michigan reconnect must be distributed and administered by the



1 department of lifelong education, advancement, and potential
2 pursuant to the Michigan reconnect grant act, 2020 PA 84, MCL
3 390.1701 to 390.1709, the Michigan reconnect grant recipient act,
4 2020 PA 68, MCL 390.1711 to 390.1723, and the department's
5 administrative procedures for Michigan reconnect.

6 (2) For fiscal year ~~2025-2026~~**2026-2027** only, the department
7 of lifelong education, advancement, and potential may use the funds
8 appropriated in section 236 for Michigan reconnect to support
9 students who are receiving awards under the temporary "ARP -
10 Michigan reconnect expansion to 21" program described in 2023 PA
11 119.

12 Sec. 248. (1) The funds appropriated in section 236 for
13 Michigan achievement scholarships must be distributed as provided
14 in this section and section 248a, pursuant to the administrative
15 procedures for Michigan achievement scholarships of the department.

16 (2) As used in this section:

17 (a) "Cost of attendance" means expenses for a student's
18 tuition, mandatory fees, and contact hours for the student's actual
19 program of study; books, supplies, and equipment required for
20 courses of instruction; housing and food costs; transportation
21 expenses; federal student loan fees; miscellaneous expenses,
22 including a reasonable amount for the documented cost of a personal
23 computer, allowance for child care, or allowance for other
24 dependent care; costs related to a disability; costs of obtaining a
25 license, certification, or first professional credential; and
26 reasonable costs for study abroad programs.

27 (b) "Department" means the department of lifelong education,
28 advancement, and potential.

29 (c) "Eligible institution" means a public university that



1 receives an appropriation in section 236, a community college that
2 receives an appropriation in section 201, a federally recognized
3 tribal college in this state, or an independent nonprofit college
4 or university in this state as described in section 1 of 1966 PA
5 313, MCL 390.991.

6 (d) "Gift aid" includes federal Pell grants under 20 USC
7 1070a, tuition incentive program benefits under section 256, state
8 tuition grants under section 252, awards received for minimum
9 payments awarded in subsection (4), higher education expenses paid
10 under the Michigan promise zone authority act, 2008 PA 549, MCL
11 390.1661 to 390.1679, and all other federal, state, local, or
12 institutional aid in the form of grants, scholarships, or discounts
13 applied toward tuition and mandatory fees. Gift aid does not
14 include student loans, work-study awards, qualified withdrawals
15 made from education savings accounts to pay higher education
16 expenses pursuant to the Michigan education savings program act,
17 2000 PA 161, MCL 390.1471 to 390.1486, or higher education expenses
18 paid under the Michigan education trust program pursuant to the
19 Michigan education trust act, 1986 PA 316, MCL 390.1421 to
20 390.1442.

21 (e) "High school equivalency certificate" means that term as
22 defined in section 4.

23 (f) "Last-dollar payment amount" means 1 of the following:

24 (i) For a student attending a community college or federally
25 recognized tribal college, an amount equal to the student's
26 tuition, mandatory fees, and contact hours for the student's actual
27 program of study, minus all gift aid received by the student.

28 (ii) For a student attending a public university or an
29 independent nonprofit college or university, or for a student



1 enrolled in a baccalaureate degree program described in section 121
2 of the community college act of 1966, 1966 PA 331, MCL 389.121, an
3 amount equal to the student's individual cost of attendance, minus
4 all gift aid received by the student.

5 (g) "Minimum payment" means a payment for any eligible cost
6 within the student's individual cost of attendance. The minimum
7 payment must be awarded as a separate payment not included in the
8 student's need-based financial aid. The minimum payment must not be
9 reduced.

10 (h) "SAI eligible student" means a student who has completed
11 the Free Application for Federal Student Aid and meets at least 1
12 of the following:

13 (i) For awards made during academic year 2023-2024, has an
14 expected family contribution of \$25,000.00 or less. An individual
15 is considered to have met the requirements of subsection (4) if the
16 individual received the Michigan achievement scholarship in
17 academic year 2023-2024, was determined to have an expected family
18 contribution of \$25,000.00 or less in academic year 2023-2024, and
19 has completed the Free Application for Federal Student Aid for the
20 subsequent award cycles.

21 (ii) For awards made during academic year 2024-2025 or a
22 subsequent academic year, has completed the Free Application for
23 Federal Student Aid and has a student aid index number of 1 of the
24 following, as applicable:

25 (A) For a student indicating on the student's Free Application
26 for Federal Student Aid that the student is the only member of the
27 student's household or the student's parents' household attending a
28 postsecondary institution during that academic year, \$30,000.00 or
29 less.



1 (B) For a student indicating on the student's Free Application
2 for Federal Student Aid that the student is not the only member of
3 the student's household or the student's parents' household
4 attending a postsecondary institution during that academic year,
5 the greater of the number described in sub-subparagraph (A) or
6 guidance determined by the department. For the purposes of this
7 sub-subparagraph, the department, in collaboration with the state
8 budget office and the house and senate fiscal agencies, may
9 calculate a student aid index number or may issue administrative
10 guidance for the student aid index eligibility of students with
11 more than 1 member of the student's household or the student's
12 parents' household attending a postsecondary institution during
13 that academic year. It is intended that the utilization of a
14 student aid index instead of expected family contribution does not
15 adversely impact the eligibility of students with multiple members
16 of the student's household or student's parents' household
17 attending postsecondary institutions. It is further intended that
18 the legislature and executive branch work collaboratively to use
19 Michigan achievement scholarship uptake and other relevant data to
20 establish a more permanent measure of financial need for the
21 Michigan achievement scholarship for subsequent academic years.

22 (3) An individual must meet all of the following criteria each
23 year to be eligible for a Michigan achievement scholarship awarded
24 under this section:

25 (a) Maintain residency in this state, as determined for
26 purposes of the Free Application for Federal Student Aid.

27 (b) Have graduated from high school in this state with a
28 diploma or certificate of completion or achieved a high school
29 equivalency certificate in 2023 or after.



(c) Be a full-time undergraduate student at an eligible institution, as defined by that eligible institution, and be a first-time enrollee in an eligible institution during the 2023-2024 academic year, or a subsequent academic year, within ~~15~~**24** months after high school graduation or attainment of a high school equivalency certificate or have received a Michigan achievement scholarship in a previous academic year. For the purposes of this subdivision, participation in a dual enrollment, early college, or other similar program while attending high school does not disqualify a student from being considered a first-time enrollee.

(d) Maintain satisfactory academic progress, as defined by the eligible institution in which the student is enrolled.

(e) Not be in default on a federal student loan.

(f) Apply for all available gift aid for each academic year in which the individual applies for a Michigan achievement scholarship.

(g) For a student who is enrolled at an eligible institution that is a public university or an independent nonprofit college or university, or who is enrolled in a baccalaureate degree program described in section 121 of the community college act of 1966, 1966 PA 331, MCL 389.121, at an eligible institution, be an SAI eligible student.

(4) The amount awarded to an eligible student at an eligible institution must equal 1 of the following, as applicable:

(a) The amount awarded to an eligible student who is enrolled at an eligible institution that is a community college or federally recognized tribal college where the student is eligible for that institution's in-district tuition rate must be equal to the sum of the last-dollar payment amount. The amount awarded to an eligible

1 student who is eligible for a federal Pell grant under 20 USC 1070a
2 must include an additional amount of \$1,000.00.

3 (b) The amount awarded to an eligible student who is enrolled
4 at an eligible institution that is a community college or federally
5 recognized tribal college where the student is not eligible for
6 that institution's in-district tuition rate must be the lesser of
7 the last-dollar payment amount, or the in-district tuition rate.
8 The amount awarded to an eligible student who is eligible for a
9 federal Pell grant under 20 USC 1070a must include an additional
10 amount of \$1,000.00.

11 (c) The amount awarded to an eligible student who is enrolled
12 at an eligible institution that is a public university or is
13 enrolled in a baccalaureate degree program described in section 121
14 of the community college act of 1966, 1966 PA 331, MCL 389.121, at
15 an eligible institution must equal the sum of following:

16 (i) A minimum payment of \$2,500.00.

17 (ii) The lesser of \$3,000.00 or the student's last-dollar
18 payment amount.

19 (d) The amount awarded to an eligible student at an eligible
20 institution that is an independent nonprofit college or university
21 must equal the sum of the following:

22 (i) A minimum payment of \$2,500.00.

23 (ii) The lesser of \$3,000.00 or the student's last-dollar
24 payment amount.

25 (e) Money awarded under this subsection for a Michigan
26 achievement scholarship must be paid to the eligible institution
27 for credit to the student's account.

28 (5) Subject to section 248a(3)(f)(i), an eligible student may
29 receive a Michigan achievement scholarship award under this section



1 or section 248a for a maximum of 5 academic years, not more than 3
 2 of which may be for attending eligible institutions that are
 3 community colleges or federally recognized tribal colleges unless
 4 the student is enrolled in a baccalaureate degree program described
 5 in section 121 of the community college act of 1966, 1966 PA 331,
 6 MCL 389.121. A student may not receive an award under this section
 7 and section 248a(3)(f)(i) during the same academic year.

8 (6) The department shall work closely with participating
 9 institutions to provide the highest level of participation and
 10 ensure that all requirements of the program are met.

11 ~~(7) From the funds appropriated in section 236(7) for the~~
 12 ~~Michigan achievement scholarships, the department may not use more~~
 13 ~~than \$10,000,000.00 for the purposes of outreach programs to raise~~
 14 ~~awareness of the Michigan achievement scholarship described in this~~
 15 ~~section and section 248a and shall ensure that Michigan achievement~~
 16 ~~scholarships are well publicized and that high school students are~~
 17 ~~provided information on the program. The department may receive and~~
 18 ~~expend funds received from outside sources for scholarships,~~
 19 ~~marketing, or other purposes related to the Michigan achievement~~
 20 ~~scholarship. The department shall provide the necessary funding and~~
 21 ~~staff to fully operate the program.~~

22 (7) ~~(8)~~ The department shall convene a workgroup to consider
 23 and advise the department on implementing policies for
 24 administering the Michigan achievement scholarship. The workgroup
 25 shall include participation from the Michigan Association of State
 26 Universities and its institutional members, the Michigan College
 27 Access Network, the Michigan Community College Association and its
 28 institutional members, the Michigan Independent Colleges and
 29 Universities and its institutional members, and any other



1 interested stakeholders and offices as determined by the
2 department. The workgroup shall make recommendations on packaging
3 order, packaging structure, definitions of terms not otherwise
4 defined in statute, and other administrative regulatory
5 requirements as necessary to implement the Michigan achievement
6 scholarship.

7 **(8)** ~~(9)~~—The following reporting obligations apply to the
8 Michigan achievement scholarship program:

9 (a) By February 15 of each year, the department shall provide
10 a written report, organized by eligible institution, to the house
11 and senate appropriations subcommittees on higher education, the
12 house and senate fiscal agencies, and the state budget director
13 that includes the following information for the previous academic
14 year:

15 (i) The number of students who qualified for a Michigan
16 achievement scholarship.

17 (ii) The number of students who received a Michigan achievement
18 scholarship.

19 (iii) The average number of credits earned by students who
20 received a Michigan achievement scholarship.

21 (iv) The number of Michigan achievement scholarships that were
22 canceled due to failure to maintain satisfactory academic progress
23 as described in subsection (3)(d).

24 (v) The number of Michigan achievement scholarships that were
25 canceled due to a student ceasing attendance at an eligible
26 institution. The number must not include any known transfers to
27 another eligible institution.

28 (vi) The number of Michigan achievement scholarships that were
29 canceled due to a student's failure to maintain full-time status.



(vii) The average Michigan achievement scholarship award per student, delineated by sector, including community colleges, tribal colleges, public universities, independent colleges and universities, and training institutions. As used in this subparagraph, "training institutions" means training institutions accepted to participate in the Michigan achievement scholarship program under section 248a.

(b) Each eligible institution whose students receive awards under this section shall cooperate with the department in a timely manner to facilitate the creation of the report under subdivision (a).

(9) ~~(10)~~ By April 1 of each year, each eligible institution shall submit a report to the department, the state budget office, and the house and senate fiscal agencies providing information as to the average amount of institutional grant aid awarded to full-time first-time undergraduate students for the immediately preceding 2 institution fiscal years. If the average amount of institutional grant aid awarded to full-time first-time undergraduate students in fiscal year ~~2024-2025~~ **2025-2026** is less than the average amount of institutional grant aid awarded to full-time first-time undergraduate students in fiscal year ~~2023-2024,~~ **2024-2025**, the institution shall include in the report a description of any changes to the institutional financial aid during the 2 immediately preceding fiscal years. An institution's report of the average amount of institutional grant aid awarded to full-time first-time undergraduate students pursuant to this subsection must be consistent with data most recently reported to the Integrated Postsecondary Education Data System.

(10) ~~(11)~~ For each fiscal year, an eligible institution shall



1 maintain and report its compliance with the following tuition
2 restraint requirements, as applicable:

3 (a) For an eligible institution that is a community college,
4 the tuition restraint described in section 217b.

5 (b) For an eligible institution that is a public university or
6 independent nonprofit college or university, the tuition restraint
7 described in section 241c.

8 **(11)** ~~(12)~~—The state budget director shall implement reporting
9 requirements to ensure that an eligible institution has satisfied
10 the tuition restraint requirements of this section. The state
11 budget director has the sole authority to determine if an eligible
12 institution has met the requirements of this section.

13 **(12)** ~~(13)~~—If an eligible institution exceeds the applicable
14 tuition restraint level for 2 consecutive years, the state budget
15 director may consider the institution ineligible for funding under
16 this section in the subsequent academic year.

17 **(13)** ~~(14)~~—If an institution is considered ineligible for
18 funding under this section, the state budget director shall
19 reevaluate the status of the ineligible institution after 1
20 academic year.

21 **(14)** ~~(15)~~—It is the intent of the legislature that an eligible
22 institution will not make reductive changes to scholarship or
23 financial aid programs offered by that eligible institution that
24 have the goal or net effect of shifting the cost burden of those
25 programs to the program described in this section.

26 Sec. 254. ~~The~~ **Subject to sections 217g and 275l, the** sums
27 appropriated in sections 236 and 236e for the state competitive
28 scholarship, tuition incentive, tuition grant, Michigan reconnect,
29 and Michigan achievement scholarship programs must be paid out of



1 the state treasury and must be distributed to the respective
2 institutions under a quarterly payment system as follows:

3 (a) For the state competitive scholarship and tuition grant
4 programs, 50% must be paid at the beginning of the state's first
5 fiscal quarter, 30% during the state's second fiscal quarter, 10%
6 during the state's third fiscal quarter, and 10% during the state's
7 fourth fiscal quarter.

8 (b) For the tuition incentive program, Michigan reconnect, and
9 Michigan achievement scholarship, 65% must be paid at the beginning
10 of the state's first fiscal quarter, and 35% during the state's
11 second fiscal quarter.

12 Sec. 256. (1) The funds appropriated in section 236 for the
13 tuition incentive program must be distributed as provided in this
14 section and pursuant to the administrative procedures for the
15 tuition incentive program of the department of lifelong education,
16 advancement, and potential.

17 (2) As used in this section:

18 (a) "Phase I" means the first part of the tuition incentive
19 program defined as the academic period of 80 semester or 120 term
20 credits, or less, leading to an associate degree or certificate.
21 Students must be enrolled in a certificate or associate degree
22 program and taking classes within the program of study for a
23 certificate or associate degree. Tuition will not be covered for
24 courses outside of a certificate or associate degree program.

25 (b) "Phase II" means the second part of the tuition incentive
26 program that provides assistance in the third and fourth year of 4-
27 year degree programs.

28 (c) "Department" means the department of lifelong education,
29 advancement, and potential.



(d) "High school equivalency certificate" means that term as defined in section 4.

(3) An individual must meet the following basic criteria and financial thresholds to be eligible for tuition incentive program benefits:

(a) To be eligible for phase I, an individual must meet all of the following criteria:

(i) Be less than 20 years of age at the time the individual graduates from high school with a diploma or certificate of completion or achieves a high school equivalency certificate or, for students attending a 5-year middle college approved by the Michigan department of education, be less than 21 years of age when the individual graduates from high school, **or be considered a special education pupil at the time the individual graduated from high school as described in section 6(4) (l) (i) .**

(ii) Be a United States citizen and maintain residency in this state, as determined for purposes of the Free Application for Federal Student Aid.

(iii) Be at least a half-time student, earning less than 80 semester or 120 term credits at a participating educational institution within 4 years of high school graduation or achievement of a high school equivalency certificate. All program eligibility expires 10 years after initial enrollment at a participating educational institution.

(iv) Meet the satisfactory academic progress policy of the educational institution attended by the individual.

(b) To be eligible for phase II, an individual must meet either of the following criteria in addition to the criteria in subdivision (a):



1 (i) Complete at least 56 transferable semester or 84
2 transferable term credits.

3 (ii) Obtain an associate degree or certificate at a
4 participating institution.

5 (c) To be eligible for phase I or phase II, an individual must
6 be financially eligible as determined by the department. An
7 individual is financially eligible for the tuition incentive
8 program if the individual was eligible for Medicaid from this state
9 for 24 months within any 36 months prior to completion of high
10 school or achievement of a high school equivalency certificate. The
11 department shall accept certification of Medicaid eligibility only
12 from the department of health and human services for the purposes
13 of verifying if a person is Medicaid eligible for 24 months within
14 any 36 months prior to completion of high school or achievement of
15 a high school equivalency certificate. Certification of eligibility
16 may begin in the sixth grade.

17 (4) For phase I, the department shall provide payment on
18 behalf of a person eligible under subsection (3). The department
19 shall only accept standard per-credit hour tuition billings and
20 shall reject billings that are excessive or outside the guidelines
21 for the type of educational institution.

22 (5) For phase I, all of the following apply:

23 (a) Payments for associate degree or certificate programs must
24 not be made for more than 80 semester or 120 term credits for any
25 individual student at any participating institution. The department
26 shall not do either of the following:

27 (i) Adopt or apply any total semester-credit or term-credit
28 maximum that is less than the 80 semester-credit or 120 term-credit
29 maximum provided in this subdivision.



(ii) Adopt or apply any per-semester or per-term credit maximum for a student whose semester-credit or term-credit load will not result in exceeding the total 80 semester-credit or 120 term-credit maximum provided in this subdivision.

(b) For persons enrolled at a Michigan community college, the department shall pay the current in-district tuition and mandatory fees. For persons residing in an area that is not included in any community college district, the out-of-district tuition rate may be authorized.

(c) For persons enrolled at a Michigan public university, the department shall pay ~~lower division resident tuition and mandatory fees for the current year.~~ **1 of the following, as applicable:**

(i) For awards made during academic year 2026-2027, or a prior academic year, lower division resident tuition and mandatory fees for the current year.

(ii) For awards made during academic year 2027-2028 or a subsequent academic year, mandatory fees for the current year and a per-credit payment that does not exceed 2.5 times the average community college in-district per-credit tuition rate as reported by the last business day of August for the immediately preceding academic year.

(d) For persons enrolled at a Michigan independent, nonprofit degree-granting college or university or a Michigan federal tribally controlled community college, the department shall pay mandatory fees for the current year and a per-credit payment that does not exceed the average community college in-district per-credit tuition rate as reported by the last business day of August for the immediately preceding academic year.

(6) A person participating in phase II may be eligible for



1 additional funds not to exceed \$500.00 per semester or \$400.00 per
2 term up to a maximum of \$2,000.00 subject to the following
3 conditions:

4 (a) Credits are earned in a 4-year program at a Michigan
5 degree-granting 4-year college or university.

6 (b) The tuition reimbursement is for coursework completed
7 within 30 months of completion of the phase I requirements.

8 (7) The department shall work closely with participating
9 institutions to provide the highest level of participation and
10 ensure that all requirements of the program are met.

11 (8) The department shall notify students in an age-appropriate
12 manner of their financial eligibility for the program any time
13 after the student begins sixth grade.

14 (9) Except as otherwise provided in sections 13(c) and 17 of
15 the Michigan reconnect grant recipient act, 2020 PA 68, MCL
16 390.1713 and 390.1717, each institution shall ensure that all known
17 available restricted grants for tuition and fees are used before
18 billing the tuition incentive program for any portion of a
19 student's tuition and fees.

20 (10) The department shall ensure that the tuition incentive
21 program is well publicized and that eligible Medicaid clients are
22 provided information on the program. The department shall provide
23 the necessary funding and staff to fully operate the program.

24 (11) The department shall collaborate with the center to use
25 the P-20 longitudinal data system to report the following
26 information for each qualified postsecondary institution:

27 (a) The number of phase I students in the most recently
28 completed academic year who in any academic year received a tuition
29 incentive program award and who successfully completed a degree or



1 certificate program. Cohort graduation rates for phase I students
2 must be calculated using the established success rate methodology
3 developed by the center in collaboration with the postsecondary
4 institutions.

5 (b) The number of students in the most recently completed
6 academic year who in any academic year received a Pell grant at the
7 reporting institution and who successfully completed a degree or
8 certificate program. Cohort graduation rates for students who
9 received Pell grants must be calculated using the established
10 success rate methodology developed by the center in collaboration
11 with the postsecondary institutions.

12 (12) If a qualified postsecondary institution does not report
13 the data necessary to complete the reporting in subsection (11) to
14 the P-20 longitudinal data system by October 15 for the prior
15 academic year, the department shall not award phase I tuition
16 incentive program funding to otherwise eligible students enrolled
17 in that institution until the data are submitted.

18 Sec. 263. (1) Included in the appropriation in section 236 for
19 fiscal year ~~2025-2026~~**2026-2027** for MSU AgBioResearch is
20 \$2,982,900.00 and included in the appropriation in section 236 for
21 MSU Extension is \$2,645,200.00 for Project GREEN. Project GREEN
22 is intended to address critical regulatory, food safety, economic,
23 and environmental problems faced by this state's plant-based
24 agriculture, forestry, and processing industries. "GREEN" is an
25 acronym for Generating Research and Extension to Meet Environmental
26 and Economic Needs.

27 (2) The department of agriculture and rural development and
28 Michigan State University, in consultation with agricultural
29 commodity groups and other interested parties, shall develop



1 Project GREEN and its program priorities.

2 Sec. 263b. Included in the appropriation in section 236 for
3 fiscal year ~~2025-2026~~**2026-2027** for MSU AgBioResearch and MSU
4 Extension is funding for the Agricultural Climate Resiliency
5 Program. The Agricultural Climate Resiliency Program is intended to
6 address environmental sustainability of Michigan agriculture and
7 promote the protection and efficient use of Michigan's water
8 resources.

9 Sec. 264. Included in the appropriation in section 236 for
10 fiscal year ~~2025-2026~~**2026-2027** for Michigan State University is
11 \$80,000.00 for the Michigan Future Farmers of America Association.
12 This \$80,000.00 allocation must not supplant any existing support
13 that Michigan State University provides to the Michigan Future
14 Farmers of America Association.

15 Sec. 268. (1) For the fiscal year ending September 30, ~~2026,~~
16 **2027**, it is the intent of the legislature that funds be allocated
17 for unfunded North American Indian tuition waiver costs incurred by
18 public universities under 1976 PA 174, MCL 390.1251 to 390.1253,
19 from the general fund.

20 (2) By January 15 of each year, the department of lifelong
21 education, advancement, and potential shall annually submit to the
22 state budget director, the house and senate appropriations
23 subcommittees on higher education, and the house and senate fiscal
24 agencies a report on North American Indian tuition waivers for the
25 preceding academic year that includes, but is not limited to, all
26 of the following information:

27 (a) The number of waiver applications received and the number
28 of waiver applications approved.

29 (b) For each public university submitting information under



subsection (3), all of the following:

(i) The number of graduate and undergraduate ~~North American Indian~~ **Native American** students enrolled each term for the previous academic year.

(ii) The number of North American Indian waivers granted each term, including to continuing education students, and the monetary value of the waivers ~~for~~ **granted each term of** the previous academic year.

(iii) The number of ~~North American Indian~~ **Native American** students who receive a granted waiver for the previous academic year.

(iv) The number of graduate and undergraduate students attending under a North American Indian tuition waiver who withdrew from the public university each term during the previous academic year. For purposes of this subparagraph, a withdrawal occurs when a student who has been awarded the waiver withdraws from the institution at any point during the term, regardless of enrollment in subsequent terms.

(v) The number of graduate and undergraduate students attending under a North American Indian tuition waiver who successfully transfer to a 4-year public or private university, or complete a degree or certificate program, separated by degree or certificate level, and the graduation rate for graduate and undergraduate students attending under a North American Indian tuition waiver who complete a degree or certificate within 150% of the normal time to complete, separated by the level of the degree or certificate.

(3) By January 1 of each year, a public university that receives an appropriation in section 236, or a tribal college



1 receiving pass-through funds under section 269, 270, or 270c, shall
2 provide to the department of lifelong education, advancement, and
3 potential any information necessary for preparing the report
4 detailed in subsection (2), using guidelines and procedures
5 developed by the department of lifelong education, advancement, and
6 potential.

7 (4) The department of lifelong education, advancement, and
8 potential may consolidate the report required under this section
9 with the report required under section 223, but a consolidated
10 report must separately identify data for public universities and
11 data for community colleges.

12 Sec. 269. For fiscal year ~~2025-2026~~, **2026-2027**, from the
13 amount appropriated in section 236 to Central Michigan University
14 for costs incurred under the North American Indian tuition waiver,
15 ~~\$80,800.00~~ **\$96,700.00** must be paid to Saginaw Chippewa Tribal
16 College for the costs of waiving tuition for North American Indians
17 under 1976 PA 174, MCL 390.1251 to 390.1253. It is the intent of
18 the legislature that Saginaw Chippewa Tribal College provide the
19 department of lifelong education, advancement, and potential the
20 necessary information for the college to be included in the report
21 required under section 268.

22 Sec. 270. For fiscal year ~~2025-2026~~, **2026-2027**, from the
23 amount appropriated in section 236 to Lake Superior State
24 University for costs incurred under the North American Indian
25 tuition waiver, ~~\$498,800.00~~ **\$465,000.00** must be paid to Bay Mills
26 Community College for the costs of waiving tuition for North
27 American Indians under 1976 PA 174, MCL 390.1251 to 390.1253. It is
28 the intent of the legislature that Bay Mills Community College
29 provide the department of lifelong education, advancement, and



1 potential the necessary information for the college to be included
2 in the report required under section 268.

3 Sec. 270c. For fiscal year ~~2025-2026~~, **2026-2027**, from the
4 amount appropriated in section 236 to Northern Michigan University
5 for costs incurred under the North American Indian tuition waiver,
6 ~~\$105,700.00~~ **\$112,200.00** is to be paid to Keweenaw Bay Ojibwa
7 Community College for the costs of waiving tuition for North
8 American Indians under 1976 PA 174, MCL 390.1251 to 390.1253. It is
9 the intent of the legislature that Keweenaw Bay Ojibwa Community
10 College provide the department of lifelong education, advancement,
11 and potential the necessary information for the community college
12 to be included in the report required under section 268.

13 **Sec. 275/. (1) Subject to subsection (2), the state treasurer**
14 **shall reduce payments made under section 254 for any public**
15 **university that is an authorizing body by an amount equal to the**
16 **difference between the amount reported under section 275k(1)(m)(i)**
17 **during the previous fiscal year and 1% times the total state school**
18 **aid received by all public school academies authorized by the**
19 **authorizing body during that fiscal year. The state treasurer may**
20 **coordinate with the state budget office or any other state**
21 **department or agency to administer this section.**

22 **(2) If the calculation under subsection (1) would result in a**
23 **net payment under section 254 that is a negative number, the**
24 **payment under section 254 must be \$0.00.**

25 **(3) As used in this section:**

26 **(a) "Authorizing body" means that term as defined in section**
27 **501 of the revised school code, 1976 PA 451, MCL 380.501.**

28 **(b) "Total state school aid" means that term as used in**
29 **section 502 of the revised school code, 1976 PA 451, MCL 380.502.**



1 Sec. 275n. A student may not receive an award under a
 2 scholarship program receiving an appropriation under section 236(7)
 3 under either of the following conditions:

4 (a) The student is enrolled in a program of study leading to a
 5 degree in theology, divinity, or religious education.

6 (b) The student is enrolled at a college or university that
 7 does not have a board-approved policy of inclusion and
 8 nondiscrimination that includes race, ethnicity, citizenship,
 9 color, religion, gender and gender identity, sexual orientation,
 10 national origin, veteran status, ability status, or any other
 11 characteristic protected under the Elliott-Larsen civil rights act,
 12 1976 PA 453, MCL 37.2101 to 37.2804.

13 Sec. 275o. (1) By December 31, 2026, each public university
 14 that receives an appropriation under section 236 shall produce a
 15 report detailing any increases, decreases, or other substantive
 16 changes to diversity, equity, and inclusion programs made after
 17 January 1, 2026.

18 (2) If the report described in subsection (1) documents a
 19 change that could reduce access to a diversity, equity, or
 20 inclusion program for that university's students or employees, the
 21 university shall also report other efforts, programs, or resources
 22 that the university provides that would serve to mitigate any
 23 negative consequences associated with the documented program
 24 reduction.

25 Sec. 276. (1) Included in the appropriation for fiscal year
 26 ~~2025-2026~~**2026-2027** for each public university in section 236 is
 27 funding for the Martin Luther King, Jr. - ~~Cesar Chavez~~**Dolores**
 28 **Huerta - Morris Hood Jr.** - Rosa Parks future faculty fellowship
 29 program that is intended to increase the pool of academically or



1 economically disadvantaged candidates pursuing faculty or
2 administration careers in postsecondary education in this state.
3 Preference may not be given to applicants on the basis of race,
4 color, ethnicity, gender, or national origin. Institutions should
5 encourage applications from applicants who would otherwise not
6 adequately be represented in the graduate student, faculty, or
7 administration populations. Each public university shall apply the
8 percentage change applicable to every public university in the
9 calculation of appropriations in section 236 to the amount of funds
10 allocated to the future faculty fellowship program.

11 (2) Each public university shall administer the program in a
12 manner prescribed by the department of labor and economic
13 opportunity. The department of labor and economic opportunity shall
14 use a good-faith effort standard to evaluate whether a fellowship
15 is in default. All of the following apply to the program:

16 (a) By June 15 of each year, public universities shall report
17 any anticipated unexpended or unencumbered program funds to the
18 department of labor and economic opportunity. Encumbered funds are
19 those funds that were committed by a fellowship agreement that is
20 signed during the current fiscal year or administrative expenses
21 that have been approved by the department of labor and economic
22 opportunity.

23 (b) Before September 1 of each year, unexpended or
24 unencumbered funds may be transferred, under the direction of the
25 department of labor and economic opportunity, to a future faculty
26 fellowship program at another public university to be awarded to an
27 eligible candidate at that public university.

28 (c) Program allocations not expended or encumbered by
29 September 30, ~~2027~~**2028** must be returned to the department of labor



1 and economic opportunity so that those funds may lapse to the state
2 general fund.

3 (d) Not more than 5% of each public university's allocation
4 for the program may be used for administration of the program.

5 (e) In addition to the appropriation for fiscal year ~~2025-~~
6 ~~2026,~~ **2026-2027**, any revenue received during prior fiscal years by
7 the department of labor and economic opportunity from defaulted
8 fellowship agreements is appropriated for the purposes originally
9 intended.

10 Sec. 277. (1) Included in the appropriation for fiscal year
11 ~~2025-2026~~ **2026-2027** for each public university in section 236 is
12 funding for the Martin Luther King, Jr. - ~~Cesar Chavez~~ **Dolores**
13 **Huerta - Morris Hood Jr.** - Rosa Parks college day program that is
14 intended to introduce academically or economically disadvantaged
15 schoolchildren to the potential of a college education in this
16 state. Preference may not be given to participants on the basis of
17 race, color, ethnicity, gender, or national origin. Public
18 universities should encourage participation from those who would
19 otherwise not adequately be represented in the student population.

20 (2) Individual program plans of each public university must
21 include a budget of equal contributions from this program, the
22 participating public university, the participating school district,
23 and the participating independent degree-granting college. College
24 day funds must not be expended to cover indirect costs. Not more
25 than 20% of the university match may be attributable to indirect
26 costs. Each public university shall apply the percentage change
27 applicable to every public university in the calculation of
28 appropriations in section 236 to the amount of funds allocated to
29 the college day program.



(3) Each public university shall administer the program described in this section in a manner prescribed by the department of labor and economic opportunity.

Sec. 278. (1) Included in the appropriation for fiscal year ~~2025-2026~~**2026-2027** for each public university in section 236 is funding for the Martin Luther King, Jr. - ~~Cesar Chavez-Dolores Huerta - Morris Hood Jr.~~ - Rosa Parks select student support services program for developing academically or economically disadvantaged student retention programs for 4-year public and independent educational institutions in this state. Preference may not be given to participants on the basis of race, color, ethnicity, gender, or national origin. Institutions should encourage participation from those who would otherwise not adequately be represented in the student population.

(2) An award made under this program to any 1 institution must not be greater than \$150,000.00, must have an award period of no more than 2 years, and must be matched on a 70% state, 30% college or university basis.

(3) The department of labor and economic opportunity shall administer the program described in this section.

Sec. 279. (1) Included in the appropriation for fiscal year ~~2025-2026~~**2026-2027** for each public university in section 236 is funding for the Martin Luther King, Jr. - ~~Cesar Chavez-Dolores Huerta - Morris Hood Jr.~~ - Rosa Parks college/university partnership program between 4-year public and independent colleges and universities and public community colleges, which is intended to increase the number of academically or economically disadvantaged students who transfer from community colleges into baccalaureate programs in this state. Preference may not be given



1 to participants on the basis of race, color, ethnicity, gender, or
 2 national origin. Institutions should encourage participation from
 3 those who would otherwise not adequately be represented in the
 4 transfer student population.

5 (2) The grants must be made under the program described in
 6 this section to Michigan public and independent colleges and
 7 universities. An award to any 1 institution must not be greater
 8 than \$150,000.00, must have an award period of no more than 2
 9 years, and must be matched on a 70% state, 30% college or
 10 university basis.

11 (3) The department of labor and economic opportunity shall
 12 administer the program described in this section.

13 Sec. 280. (1) Included in the appropriation for fiscal year
 14 ~~2025-2026-2026-2027~~ for each public university in section 236 is
 15 funding for the Martin Luther King, Jr. - ~~Cesar Chavez-Dolores~~
 16 **Huerta - Morris Hood Jr.** - Rosa Parks visiting professors program,
 17 which is intended to increase the number of instructors in the
 18 classroom to provide role models for academically or economically
 19 disadvantaged students. Preference may not be given to participants
 20 on the basis of race, color, ethnicity, gender, or national origin.
 21 Public universities should encourage participation from those who
 22 would otherwise not adequately be represented in the student
 23 population.

24 (2) The department of labor and economic opportunity shall
 25 administer the program described in this section.

26 (3) The amount allocated to each public university is
 27 \$11,184.00 and is subject to an award period of no more than 2
 28 years. Each public university receiving funds for fiscal year ~~2025-~~
 29 ~~2026-2026-2027~~ under this section shall report to the department of



labor and economic opportunity by April 15, ~~2026~~**2027** the amount of its unobligated and unexpended funds as of March 31, ~~2026~~**2027** and a plan to expend the remaining funds by the end of the fiscal year. The amount of funding reported as not being expended may be transferred, under the direction of the department, to another public university for use under this section.

Sec. 281. (1) Included in the appropriation for fiscal year ~~2025-2026~~**2026-2027** for each public university in section 236 is funding under the Martin Luther King, Jr. - ~~Cesar Chavez~~**Dolores Huerta - Morris Hood Jr.** - Rosa Parks initiative for the Morris Hood, Jr. educator development program, which is intended to increase the number of academically or economically disadvantaged students who enroll in and complete K-12 teacher education programs at the baccalaureate level and teach in this state. Preference may not be given to participants on the basis of race, color, ethnicity, gender, or national origin. Institutions should encourage participation from those who would otherwise not adequately be represented in the teacher education student population.

(2) The program described in this section must be administered by each state-approved teacher education institution in a manner prescribed by the department of labor and economic opportunity.

(3) Approved teacher education institutions may and are encouraged to use select student support services funding in coordination with the Morris Hood, Jr. funding to achieve the goals of the program described in this section.

Sec. 282. (1) Each institution receiving funds for fiscal year ~~2025-2026~~**2026-2027** under section 278, 279, or 281 shall provide to the department of labor and economic opportunity by April 15, ~~2026~~



1 **2027** the unobligated and unexpended funds as of March 31, ~~2026~~**2027**
 2 and a plan to expend the remaining funds by the end of the fiscal
 3 year. Notwithstanding the award limitations in sections 278 and
 4 279, the amount of funding reported as not being expended will be
 5 reallocated to the institutions that intend to expend all funding
 6 received under section 278, 279, or 281.

7 (2) Funds received for the purpose of administering programs
 8 under sections 278, 279, and 281 must not be used for direct
 9 financial aid or indirect financial aid. However, a public
 10 university may provide academic incentives to motivate
 11 participating students as approved by the department. As used in
 12 this subsection:

13 (a) "Direct financial aid" includes, but is not limited to,
 14 scholarships, payment of tuition, stipends, and work-studies.

15 (b) "Indirect financial aid" includes, but is not limited to,
 16 transportation, textbook allowances, child care support, and
 17 assistance with medical premiums or expenses.

18 **Sec. 287. Not later than December 1 of each year, each public**
 19 **university that receives an appropriation in section 236 shall**
 20 **provide a report to the house and senate appropriations**
 21 **subcommittees on higher education, the house and senate fiscal**
 22 **agencies, and the state budget director providing an itemized cost**
 23 **of attendance for full-time students attending that public**
 24 **university for the current and previous 2 academic years.**

25 Enacting section 1. In accordance with section 30 of article
 26 IX of the state constitution of 1963, total state spending from
 27 state sources for higher education for fiscal year 2026-2027 under
 28 article III of the state school aid act of 1979, 1979 PA 94, MCL
 29 388.1836 to 388.1891, as amended by this amendatory act, is



1 estimated at \$2,586,932,800.00 and the amount of that state
2 spending from state sources to be paid to local units of government
3 for fiscal year 2026-2027 is estimated at \$0.00.

4 Enacting section 2. Section 241h of the state school aid act
5 of 1979, 1979 PA 94, MCL 388.1841h is repealed effective October 1,
6 2026.

7 Enacting section 3. This amendatory act takes effect October
8 1, 2026.